Rating Update

November 14, 2025 | Mumbai

Ksolves India Limited

Update as on November 14, 2025

This update is provided in continuation of the rating rational below.

The key rating sensitivity factors for the rating include:

Upward Factors:

- Revenue increasing by more than Rs 200 crore and sustenance of the operating margin, leading to higher-than-expected cash accrual
- Continued improvement in financial risk profile, supported by better-than-anticipated cash generation and better working capital management

Downward Factors:

- Revenue dropping by 20% and a steep decline in the operating margin, resulting in lower-than-expected cash accrual
- Any large, debt-funded capital expenditure or sizeable dividend payment.

Crisil Ratings has a policy of keeping its accepted ratings under constant and ongoing monitoring and review. Accordingly, Crisil Ratings seeks regular updates from companies on the business and financial performance. Crisil Ratings is, however, awaiting adequate information from Ksolves India Limited (KIL) which will enable us to carry out the rating review. Crisil Ratings will continue provide updates on relevant developments from time to time on this credit.

Crisil Ratings also identifies information availability risk as a key credit factor in the rating assessment as outlined in its criteria 'Information Availability Risk in Credit Ratings'.

About the Company

KIL, incorporated in July 2014, is listed on the National Stock Exchange and Bombay Stock Exchange. The company is engaged in developing software and application and providing IT-related solutions such as big data services, salesforce services, artificial intelligence, machine learning, iOS application development, android application development, node.js development, reactjs development, salesforce development, serverless architecture, ruby on rails development, cyber security, DevOps, SecOps, backup, and disaster recovery, cross-platform, SaaS application, and API integration to clients.

About the Subsidiaries

KSPL, incorporated in 2012, was acquired by KIL in 2019. It provides IT and IT-enabled services including web, mobile, cloud, and electronic-commerce solutions

KL was established in June 2021 in the United States of America. It is a wholly owned subsidiary of KIL and provides IT solutions with KIL.

The group is headed by Mr Ratan Kumar Srivastava (founder and managing director) along with other directors.

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Crisil Ratings

Rating Rationale

December 05, 2024 | Mumbai

Ksolves India Limited

Rating reaffirmed at 'CRISIL BBB/Stable'

Rating Action

Corporate Credit Rating	**CRISIL BBB/Stable (Reaffirmed)**

Note: None of the Directors on CRISIL Ratings Limited's Board are members of rating committee and thus do not participate in discussion or assignment of any ratings. The Board of Directors also does not discuss any ratings at its meetings.
1 crore = 10 million
Refer to Annexure for Details of Instruments & Bank Facilities

Detailed Rationale

CRISIL Ratings has reaffirmed its 'CRISIL BBB/Stable' corporate credit rating to Ksolves India Limited (KIL).

The rating factors in stable business and financial risk profiles of the company with continued growth of more than 57% during the two fiscals through 2024 driven by continuous focus on invocation and new technologies which help provide new solutions to clients and sustain revenue growth. The company has established presence across various geographies with around 64.8% revenue coming from North American market with services provided to various industries including information technology (IT), banking, financial services and insurance sector, telecommunication, education technology etc.

The rating continues to reflects the extensive experience of the promoters and management team in the internet software and services industry along with diversified revenue and customer profiles and healthy operating efficiency. These strengths are partially offset by modest scale of operations and vulnerability of the operating margin to fluctuations in foreign exchange (forex) rates.

Analytical Approach

CRISIL Ratings has combined the business and financial risk profiles of KIL along with its wholly owned subsidiaries -- Kartik Solutions Pvt Ltd (KSPL) and Ksolves LLC (KL).

Please refer Annexure - List of Entities Consolidated, which captures the list of entities considered and their analytical treatment of consolidation

Key Rating Drivers & Detailed Description

Strengths:

Extensive experience of the promoters and management team

The key promoter cum managing director, Mr Ratan Kumar Srivastava, has around two decades of experience in the internet software and services industry; he is supported by a well-qualified and experienced management team. Expertise of the promoters, their strong understanding of market dynamics and healthy relationships with customers and suppliers should continue to support the business. There is a steady flow of repeat orders from clients in the US and European markets; around 82% revenue generated by the company is from repeat customers. Revenue increased at a compound annual growth rate of more than 57% for the three fiscals ended March 31, 2024, backed by repeat orders from customers and healthy order book visibility over the medium term. The company is focusing on emerging technologies such as artificial intelligence and machine learning, which are higher ticket size and better-margin products. Revenue is estimated at Rs 66.23 crore for the first half of fiscal 2025 is expected to be grow at a consistent pace for the full fiscal. KIL is expected to generate revenue of around Rs 135 crore in fiscal 2025.

Diversified revenue and customer profiles

The company has presence in various sectors such as technology, media and entertainment, telecommunications, BFSI, electronic-commerce and healthcare. The top five customers accounted for ~32.7% of the revenue in fiscal 2024. Revenue profile is diversified, with the company booking revenue through licensing of software, annual maintenance fee and support services.

Healthy operating efficiency

The operating margin stood healthy at 42-43%% for the three fiscals through 2024. Major expense of the company is employee cost which the company is able to maintain. The company focusses on emerging technologies like artificial intelligence and machine learning which are higher ticket size and better margin products. As the company is working on niche technologies for clients which is usually used by larger service providers, it has started spending on marketing and

promotional initiatives such as setting up stalls in technology events, participating in exhibitions etc. to increase awareness among potential customers about its technological capabilities. Due to higher spending on marketing initiatives, the operating margin moderated to 37.98% till September 2024 in the ongoing fiscal. Increased spending on marketing is expected to expand operating scale and moderate operating margin to around 35-40% over the medium term.

Weaknesses:

Modest scale of operations

Intense competition constrains scalability, as reflected in revenue of Rs 108.64 crore in fiscal 2024. Revenue is estimated at Rs 66.23 crore the first half of fiscal 2025 and with healthy visibility and business in hand should reach Rs 135 crore for the full fiscal. Presence in a niche segment will continue to support revenue growth over the medium term, which will remain monitorable.

Vulnerability of operating margin to fluctuations in forex rates

Since majority of the revenue comes from the international market, any sharp fluctuation in forex rates will significantly affect realisation and cash accrual.

Liquidity: Adequate

In the absence of any repayment obligation, the cash accrual -- projected at Rs 10-13 crore per annum will be sufficient to meet dividend payout and aid financial flexibility. Current ratio was healthy at 9.87 times on March 31, 2024. Cash and bank balance stood at Rs 15.43 crore as on September 30, 2024. Low gearing and moderate networth should also support liquidity.

Outlook: Stable

KIL along with its subsidiaries will continue to benefit from the extensive experience of the promoters and their established relationship with clients.

Rating Sensitivity Factors

Upward Factors

- Revenue increasing by more than Rs 200 crore and sustenance of the operating margin, leading to higher-than-expected cash accrual
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The group is headed by Mr Ratan Kumar Srivastava (founder and managing director) along with other directors.

Key Financial Indicators (Combined)

As on/for the period ended March 31	Unit	2024	2023
Operating Income	Rs.Crore	108.64	78.32
Reported profit after tax	Rs.Crore	34.15	24.57
PAT Margins	%	31.44	31.56
Adjusted Debt/Adjusted Networth	Times	0.00	0.00
Interest Coverage	Times	392.84	763.4 9

Any other information: Not Applicable

Note on complexity levels of the rated instrument:

CRISIL Ratings` complexity levels are assigned to various types of financial instruments and are included (where applicable) in the 'Annexure - Details of Instrument' in this Rating Rationale.

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Annexure - Details of Instrument(s)

ISIN	Name of instrument	Date of allotment	Coupon rate (%)	Maturity date	Issue size (Rs.Crore)	Complexity level	Rating assigned with outlook
NA	NA	NA	NA	NA	NA	NA	NA

Annexure - List of Entities Consolidated

Names of Entities Consolidated	Extent of Consolidation	Rationale for Consolidation
Ksolves India Limited	Full Consolidation	Parent company
Kartik Solutions Private Limited	Full Consolidation	Wholly owned subsidiary of Ksolves India Limited
Ksolves LLC	Full Consolidation	Wholly owned subsidiary of Ksolves India Limited

Annexure - Rating History for last 3 Years

	Current			2024 (History)		2023		2022		2021		Start of 2021
Instrument	Type	Outstanding Amount	Rating	Date	Rating	Date	Rating	Date	Rating	Date	Rating	Rating
Corporate Credit Rating	LT	0.0	CRISIL BBB/Stable		--	12-12-23	CRISIL BBB/Stable		--		--	--

All amounts are in Rs.Cr.

Criteria Details

Links to related criteria
CRISILs Bank Loan Ratings - process, scale and default recognition
CRISILs Approach to Financial Ratios
Rating criteria for manufaturing and service sector companies
CRISILs Criteria for Consolidation

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